

Inventory Management Policy

Document Information

- **Department:** Supply Chain & Inventory Management
 - **Version:** 3.2
 - **Effective Date:** January 2026
 - **Review Frequency:** Annually
 - **Owner:** Head of Supply Chain Operations
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1. Purpose

This policy establishes standardized procedures for inventory planning, stock monitoring, replenishment, and warehouse inventory control across all regional distribution centers. The objective is to maintain optimal inventory levels while minimizing stockouts, excess inventory, and operational costs.

2. Inventory Objectives

- Maintain inventory accuracy above **98%**.
 - Achieve an inventory fill rate of **95% or higher**.
 - Reduce stockout incidents by **30%** year-over-year.
 - Improve inventory turnover to **8.0**.
 - Maintain safety stock for all critical SKUs.
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3. Inventory Classification

Category A

- High-value inventory
- Weekly review
- Executive approval required for replenishment

Category B

- Medium-value inventory
- Bi-weekly review

- Planner approval required

Category C

- Low-value, high-volume inventory
 - Monthly review
 - Automated replenishment
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4. Safety Stock Policy

Safety stock shall be maintained based on:

- Historical demand
- Supplier lead time
- Demand variability
- Criticality of SKU
- Business continuity requirements

Critical networking and infrastructure products require an additional 20% safety stock buffer.

5. Reorder Point Calculation

Reorder Point is calculated using:

- Average Daily Demand
- Supplier Lead Time
- Safety Stock

Inventory planners must review reorder points monthly.

6. Inventory Review Schedule

Inventory Type Review Frequency

Critical SKUs Daily

Category A Weekly

Category B Every Two Weeks

Category C Monthly

7. Warehouse Transfer Policy

When warehouse inventory falls below the reorder point:

1. Check availability in nearby warehouses.
2. Initiate internal stock transfer before creating a purchase order.
3. Escalate shortages lasting more than 48 hours.

8. Emergency Procurement

Emergency procurement may be initiated when:

- Critical inventory reaches zero.
- Supplier delay exceeds 10 business days.
- Customer orders cannot be fulfilled.
- Production is at risk.

9. Inventory KPIs

- Inventory Accuracy
- Inventory Turnover
- Fill Rate
- Days of Supply
- Backorder Percentage
- Stockout Rate
- Warehouse Utilization

10. Compliance

Monthly inventory audits must be completed by warehouse managers. Non-compliance will be reviewed during quarterly operational audits.
